**8.** A, B and C are partners sharing profits in the ratio of 2:2:1. On retirement of B, goodwill of the firm was valued as ₹ 30,000. Find the contribution of A and C to compensate B:

(a) ₹ 20,000 and ₹ 10,000 (b) ₹ 8,000 and ₹ 4,000

(c) ₹ 10,000 and ₹ 20,000 (d) ₹ 15,000 and ₹ 15,000

**9.** A, B and C are partners sharing profits in the ratio of 4:2:3. C retires. The new profit sharing ratio between A and B will be

(a) 4:3 (b) 3:4 (c) 2:1 (d) 1:2

**10.** X, Y and Z were partners sharing profits and losses equally. X died on 1st April 2019. Find out the share of X in the profit of 2019 based on the profit of 2018 which showed ₹ 36,000.

(a) ₹ 1,000 (b) ₹ 3,000 (c) ₹ 12,000 (d) ₹ 36,000

**Answers**

| | | | | | | | | | |
|---|---|---|---|---|---|---|---|---|---|
| **1 (c)** | **2(b)** | **3(a)** | **4(b)** | **5 (c)** | **6(c)** | **7(d)** | **8(b)** | **9(c)** | **10(b)** |

## II. Very short answer questions

**1.** What is meant by retirement of a partner?
**2.** What is gaining ratio?
**3.** What is the purpose of calculating gaining ratio?
**4.** What is the journal entry to be passed to transfer the amount due to the deceased partner to the executor of the deceased partner?

## III Short answer questions

**1.** List out the adjustments made at the time of retirement of a partner in a partnership firm.
**2.** Distinguish between sacrificing ratio and gaining ratio.
**3.** What are the ways in which the final amount due to an outgoing partner can be settled?

## IV Exercises

### Retirement of a partner

**Distribution of accumulated profits, reserves and losses**

**1.** Dheena, Surya and Janaki are partners sharing profits and losses in the ratio of 5:3:2. On 31.3.2018, Dheena retired. On the date of retirement, the books of the firm showed a reserve fund of ₹ 50,000. Pass journal entry to transfer the reserve fund.

**(Answer: Reserve fund: Dheena: ₹ 25,000(Cr.); Surya: ₹ 15,000 (Cr.); Janaki: ₹ 10,000 (Cr.))**

**2.** Rosi, Rathi and Rani are partners of a firm sharing profits and losses equally. Rathi retired from the partnership on 1.1.2018. On that date, their balance sheet showed accumulated loss of ₹ 45,000 on the asset side of the balance sheet. Give the journal entry to distribute the accumulated loss.

**(Answer: Rosi: ₹ 15,000(Dr.); Rathi: ₹15,000 (Dr.); Rani: ₹ 15,000 (Dr.))**



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